Absorbing Transition DID Results: Bad Historical Restatement — Downgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		0.053		0.066*		0.006
		(0.042)		(0.034)		(0.034)
× Voluntary Rotation		0.024**		0.016**		0.014
		(0.010)		(0.008)		(0.009)
Pooled	0.033***		0.026***		0.014**	
	(0.009)		(0.007)		(0.007)	
Mandatory − Voluntary		0.029		0.050		-0.008
Difference p-value		0.506		0.159		0.820
Observations	35,962	33,140	35,962	33,140	35,962	33,140
Firms	5,011	4,955	5,011	4,955	5,011	4,955
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		0.021		0.046		0.010
		(0.039)		(0.032)		(0.040)
× Voluntary Rotation		0.026**		0.020**		0.018*
		(0.012)		(0.008)		(0.011)
Pooled	0.030**		0.028***		0.017	
	(0.013)		(0.010)		(0.010)	
Mandatory − Voluntary		-0.005		0.026		-0.008
Difference p-value		0.907		0.430		0.836
Observations	19,203	18,009	19,203	18,009	19,203	18,009
Firms	2,710	2,671	2,710	2,671	2,710	2,671
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		0.063***		0.045***		0.040***
		(0.017)		(0.014)		(0.014)
× Voluntary Rotation		0.020***		0.022***		0.012*
		(0.008)		(0.006)		(0.007)
Pooled	0.032***		0.031***		0.017***	
	(0.005)		(0.004)		(0.004)	
Mandatory − Voluntary		0.043**		0.023		0.027*
Difference p-value		0.027		0.139		0.091
Observations	42,901	40,082	42,901	40,082	42,901	40,082
Firms	5,244	5,205	5,244	5,205	5,244	5,205
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		0.066***		0.046***		0.039***
		(0.017)		(0.014)		(0.014)
× Voluntary Rotation		0.021***		0.021***		0.012**
		(0.007)		(0.006)		(0.006)
Pooled	0.032***		0.030***		0.017***	
	(0.005)		(0.004)		(0.004)	
Mandatory − Voluntary		0.045**		0.025		0.027*
Difference p-value		0.016		0.110		0.071
Observations	43,682	40,863	43,682	40,863	43,682	40,863
Firms	5,244	5,205	5,244	5,205	5,244	5,205
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.